GMS WEEKLY

Your Source for Recycling News

May 1st, 2026
Week 18
Volume 282, Issue 1233

Highlights:

- **Brent shocks.**
- **Hormuz at 4%.**
- **Owners cement.**
- **Backlog locks.**

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QUOTE of the WEEK

"The pessimist complains about the wind; the optimist expects it to change; the realist adjusts the sails"

-William Arthur

-- MARKET COMMENTARY --

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BLOCKADE BECOMES STRUCTURE!

The Week 17 view that an indefinite ceasefire without a concrete proposal would keep owners from releasing tonnage has been overtaken by a supply shock previously seen as a tail risk. Brent traded as high as USD 126.41 per barrel on April 30, the highest since 2022, before settling into a USD 108 to USD 114 range. The June contract led the rally into expiry after reports that US Central Command may brief President Trump on renewed military action against Iran, including a "short and intense wave of strikes." Trump rejected Tehran's proposal to reopen the Strait of Hormuz, confirming the US naval blockade will remain until a broader agreement is reached. Brent is up about 60% since February 28.

The IEA has called this "the largest supply disruption in history." Goldman Sachs estimates Hormuz exports at about 4% of normal, with tanker transits down from dozens daily to single digits. What was restricted passage in Weeks 14 to 17 has now hardened into a structural blockade with no visible off-ramp. The Pentagon's six month mine clearance estimate remains unchanged. Iran's parliament backed negotiations on April 27 with 261 of 290 votes, but the gap between the US 15 point plan and Iran's 5 point proposal remains unresolved.

Freight is more stable than oil. The Baltic Dry Index closed at 2,670 on April 29, unchanged from 2,673 in Week 17, with the prior rally ending April 23. Capesize reached 4,283 and Supramax 1,522, both recent highs. Segments relevant to recycling remain firm, supporting continued trading of older vessels.

Currencies are diverging along Hormuz exposure. USD/INR weakened to about 94.71, a new low. USD/PKR firmed to 278.82, USD/TRY to 44.45 from 44.92, and USD/BDT held between 122.74 and 123.18. The Dollar Index strengthened to 100.3. Exposure to Hormuz flows continues to define currency pressure.

US March CPI printed at 3.5% on April 11, the highest since the war began, driven by energy and transport. The Federal Reserve held rates steady. Sub-continent inflation remains broadly stable for now, Bangladesh 8.71%, India 3.40%, Pakistan 7.3%, Turkey 30.87%, with April data expected to reflect the latest oil move.

With about four weeks to the monsoon window, the Week 17 view that Q1 overhang would extend into Q2 is now confirmed. With Brent at multi year highs, Hormuz flows at 4% of normal, no diplomatic progress, and firm freight, the incentive to keep older vessels trading has strengthened. Bangladesh has demand, Pakistan has proximity and currency stability, India retains compliance strength despite the rupee, and Turkey remains niche. None have sufficient tonnage.

GMS market rankings / pricing for week 18 of 2026 are on Page 5.

BANGLADESH

DEMAND READY, SHIPS SCARCE

Currency holds.

Bangladesh enters Week 18 with USD/BDT trading in a 122.74 to 123.18 range, marginally firmer than the Week 17 close near 122.85 but still well within the band that has defined Q2. The Dollar Index move to approximately 100.3 has not translated into proportional Taka weakness, reflecting the central bank's sustained intervention discipline and a foreign exchange reserve position of USD 34.12 billion that continues to absorb the global risk-off rotation without a forced devaluation. Local steel plate prices are holding in a BDT 69,400 to 71,000 range, with the USD equivalent at approximately USD 564 to USD 578 per ton. The Week 17 firming has not extended, but the absolute pricing position keeps Chattogram clearly above Alang and Aliaga and competitive with Gadani at the ton level.

LC pipeline runs.

The Letter of Credit pipeline that defined Q1 friction has now substantially cleared. Post-Eid central bank approvals reached an operational rhythm during Week 17 and have sustained that pace into Week 18, with Chattogram cash buyers reporting file-to-fund cycles materially shorter than the February reference. The two OFAC-sanctioned VLCCs at OPL Chattogram enter their seventh week unresolved, and the heightened due diligence culture they have embedded across the cash buyer community is now operating as a practice rather than an episodic response. The compliance environment has not improved. The financial environment has.

Window closes.

Bangladesh's March 2026 CPI at 8.71% and non-food inflation at 9.09% remain the operative reads, with the April print expected in early May. The pre-monsoon window has tightened to approximately four weeks, the operational ceiling for converting demand into executed beachings before yards must slow cycles. The Brent move to USD 126 overnight has not changed Bangladesh's calculation directly because the Taka has held, but it has fundamentally changed owners' calculation by raising the bunker cost floor and reinforcing the trading earnings premium that is keeping older tonnage at sea. Bangladesh has the demand. The supply problem is no longer Bangladesh's problem to solve.

NO MARKET SALES REPORTED

INDIA

RUPEE BREAKS, ALANG ABSORBS

Record low.

USD/INR has broken to approximately 94.71 in Week 18, surpassing the Week 14 record of 94.42 and the March 27 reference of 94.86 to print a fresh all-time low. The Reserve Bank of India's Week 17 partial unwind of FX restrictions has not been reversed, and intervention has been more selective than the early-April defence. The structural driver is unambiguous: with Hormuz transit at approximately 4% of normal per Goldman estimates, India's import bill on approximately 70% of crude and 90% of LPG that route through or near the strait has absorbed a fundamental supply shock that the currency has now fully priced. The rupee is no longer telling a more honest story than oil. The two are now telling the same story.

Steel resilient.

Local steel plate prices at Alang have held in an INR 40,700 to 41,500 range through Week 18, with the USD equivalent at approximately USD 430 to 438 per ton at current exchange rates. The notable observation is that the rupee's break to 94.71 has not yet translated into proportional USD downside on plate, a small but meaningful signal that local mill economics are holding despite the macro pressure. India remains the lowest-priced sub-continent destination, with the gap to Pakistan now widening to approximately USD 240 to 250 per LDT, given the relative currency moves. The compliance differentiator is unchanged. More than 110 yards at Alang hold valid Statements of Compliance, and the RBI's 2% to 6% inflation tolerance band for 2026-2031 continues to anchor the macro framework even under the current rupee stress.

Supply absent.

India's March 2026 CPI at 3.40%, released April 13, remains the operative inflation print, comfortably within the RBI band. The April print expected in mid-May will be the first to materially capture the Week 17 to Week 18 oil rally, and the transmission to domestic transport and food costs will be the watch item for May. None of these changes the immediate recycling picture. Alang's capacity, compliance footprint, and pricing flexibility are all intact. The defining constraint remains the same constraint that has defined every week since the war opened: tonnage is not arriving. The monsoon is. With four weeks to the closure of the beaching window in the Bay of Bengal, the structural case for an owner to send a candidate to Alang in early May has not improved. It has on the Brent move to USD 126, materially weakened.

NO MARKET SALES REPORTED

PAKISTAN

STABILITY MEETS SHOCK

Currency firm.

Pakistan's Week 18 marks an unusual configuration: while the world's currency markets have repriced sharply on the Brent rally and the Hormuz blockade hardening into structure, USD/PKR has actually firmed marginally to approximately 278.82 from the Week 17 close near 279.70. Open-market quotes published April 30 from Karachi show USD buying at 279.10 and selling at 280, essentially unchanged from the prior week. The Pakistani Rupee is now operating as the most stable major currency in the basin, a position that did not exist three weeks ago and which now constitutes a structural advantage for Gadani that compounds with the Gulf proximity premium. Local steel plate prices at PKR 188,000 per ton are unchanged, with the USD equivalent firming slightly to approximately USD 674 per ton on the marginal PKR strength.

Premium compounds.

The four-percent Hormuz transit reality, the rejection by President Trump of Iran's proposal to reopen the strait, and the CENTCOM briefing on potential renewed military action are, in aggregate, the strongest possible reinforcement of Gadani's structural positioning. Where Bangladesh's advantage is pricing and compliance, and India's advantage is yard depth and HKC capacity, Pakistan's advantage is geography and its currency configuration is now also working in its favour. Three HKC-certified yards are operational with further certifications in the pipeline, and the candidate pool of medium-sized dry bulk, LPG, and offshore units that align with Gadani's capacity has expanded marginally as Gulf-region operators reassess their fleet positioning under the four-percent transit constraint.

Execution narrows.

Pakistan's March 2026 CPI at 7.3%, above the State Bank's 5% to 7% target band, remains driven by transport and housing rather than food, and the trajectory remains manageable for yard economics given the stable PKR base. The April print, expected in early May, will be the first to fully reflect the Week 17 to Week 18 oil shock and is the watch item. The structural position is the firmest of any sub-continent destination this Q2. The unresolved question remains whether this position translates into executed transactions within the four-week pre-monsoon window. The current geopolitical configuration, with the indefinite ceasefire holding nominally but Trump being briefed on renewed strikes, makes a near-term durable resolution materially less plausible than it was at the start of Week 17. Pakistan has the most to consolidate if the configuration holds. On current evidence, it will.

NO MARKET SALES REPORTED

TURKEY

LIRA RECOVERS, POSITION HOLDS

Lira firms.

Turkey enters Week 18 with USD/TRY at approximately 44.45, a notable strengthening from the Week 17 record low near 44.92 and reflecting the Central Bank of Turkey's sustained intervention plus a marginal global flight-to-dollar rotation that has supported lira-denominated assets relative to other emerging market currencies. The TCMB's decision to hold its key policy rate unchanged for the second consecutive meeting in April and the halt on reverse repo auctions that drove lira overnight reference rates near 40% are both still in force. The lira's recovery from 44.92 is best read as a stabilisation rather than a turn.

Inflation trajectory.

March 2026 CPI at 30.87% remains the operative print, with the April release expected in early May and the watch item being whether the Brent move to USD 126 has materially passed through to transport and energy components. The headline disinflation narrative has been narrowing for three consecutive months, with monthly prints decelerating from 4.84% in January to 1.94% in March. Independent estimates remain materially above the official series, with ENAG at 54.62% and Istanbul Chamber data at 37.68 percent. The TCMB's 16% year-end target is increasingly difficult to reconcile under any reasonable trajectory that captures the Week 17 to Week 18 shock.

Niche persists.

At USD 268 to USD 290 per LDT across vessel types, Aliaga remains structurally uncompetitive for mainstream tonnage. The lira's modest recovery from 44.92 to 44.45 has firmed Turkish offers in USD terms, but not by enough to bridge the gap to Pakistan at USD 445 to USD 480 or Bangladesh at USD 460 to USD 495. Turkey's relevance this Q2 is confined to the EU-regulated tonnage segment, where Basel Convention compliance overrides the price differential. The Brent shock and the Hormuz blockade hardening do not change this structurally. Aliaga is operating in a different market than the sub-continent.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 18 of 2026, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Improving**	460-465 / LDT	480-485 / LDT	490-495 / LDT
2	Pakistan	**Firming**	445-450 / LDT	465-470 / LDT	475-480 / LDT
3	India	**Softening**	420-425 / LDT	440-445 / LDT	450-455 / LDT
4	Turkey	**Steady**	270-272 / LDT	280-282 / LDT	290-292 / LDT

DID YOU KNOW?

- *Recycling vessels at Alang, instead of producing steel from iron ore, has avoided approximately 72.55 million MT of CO_2 emissions, equivalent to the annual carbon absorption of 27.9 million acres of forest.*
- *Each vessel recycled under GMS Sustainable Ship and Offshore Recycling Program (SSORP) is processed in HKC-compliant facilities, ensuring compliance with environmental and safety regulations.*
- *Ship recycling activities at Alang have saved an estimated 753 trillion BTUs of energy, equivalent to the annual energy consumption of over 20 million households.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
May 27 / 28 – Eid al-Adha	May 01 – May 06 May 14 – May 22

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
May 01 – Labour Day May 26 to May 28 – Eid al-Adha	May 01 – May 03 May 16 – May 19 May 31

BANK HOLIDAYS	
PAKISTAN	**TURKEY**
May 01 – Labour Day May 27 to May 29 – Eid al-Adha	May 19 - Commemoration of Atatürk & Youth Day May 27 / 28 – Kurban Bayramı

ALANG - Port Position as of May 01, 2026

No.	VESSEL NAME	LDT	TYPE	STATUS
1	D/V Andaman	37,687	Drill Ship	*Delivered April 25*
2	Mali	39,388	Oil Tanker	*Delivered April 28*
3	Tornado	2,447	General Cargo	*Delivered April 30*
Morality		*79,522*		

CHATTOGRAM - Port Position as of May 01, 2026

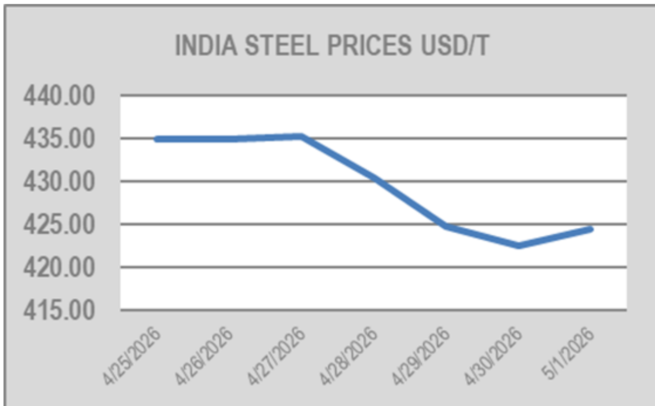
No.	VESSEL NAME	LDT	TYPE	STATUS
1	Jiang	21,238	Bulk Carrier	Arrived April 21
2	Shin Ho Chun No. 102	2,113	Refrigerate Cargo Ship	*Delivered April 23*
3	Festival	6,993	Bulk Carrier	Arrived April 25
4	Spruce	2,217	Container	Arrived April 27
5	Ocean Rosemary	8,783	Bulk Carrier	*Delivered April 30*
6	BGP Pioneer	3,085	Research Survey Vessel	Arrived May 01

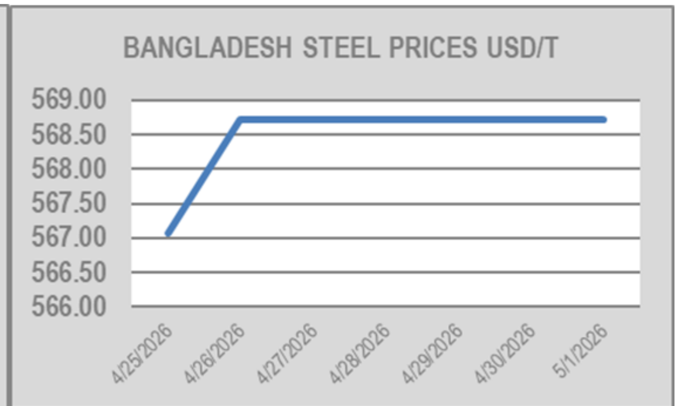
GADANI - Port Position as of May 01, 2026

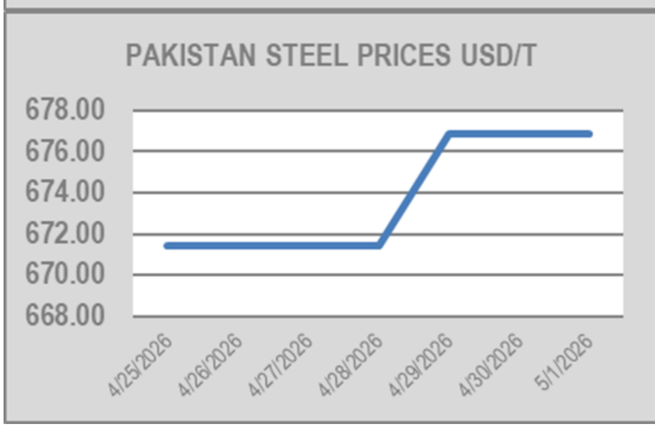
No.	VESSEL NAME	LDT	TYPE	STATUS
1	Xiong Hai	1,659	Tanker	Arrived April 24
Total Tonnage		*1,659*		

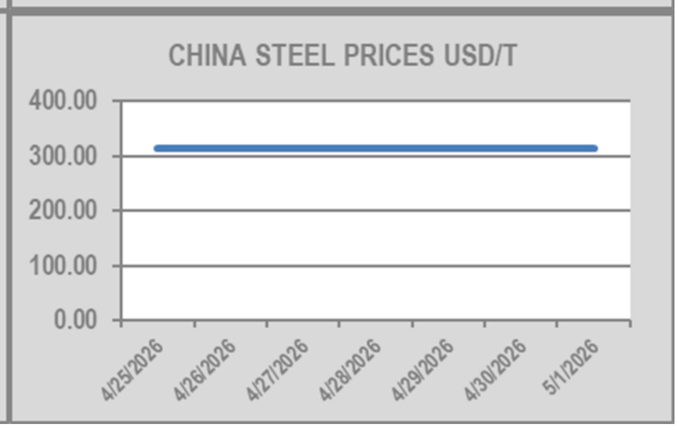
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
4/25/2026	435.01	41,000.00	671.43	188,000.00	567.08	68,900.00	313.77
4/26/2026	435.01	41,000.00	671.43	188,000.00	568.72	69,100.00	313.77
4/27/2026	435.29	41,000.00	671.43	188,000.00	568.72	69,100.00	313.77
4/28/2026	430.46	40,700.00	671.43	188,000.00	568.72	69,100.00	313.77
4/29/2026	424.88	40,300.00	676.88	190,000.00	568.72	69,100.00	313.77
4/30/2026	422.51	40,100.00	676.88	190,000.00	568.72	69,100.00	313.77
5/1/2026	424.43	40,300.00	676.88	190,000.00	568.72	69,100.00	313.77









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